

Economics

Chapter: 2 Class: 11th

Money

Introduction:

- * The concept of money is an important concept which has brought about a revolutionary change in the economic life of human beings.
- * Money which is in circulation today was created to reduce the difficulties in 'Barter System'. **Barter system** is the exchange of one commodity in terms of another. For e.g., exchange of rice for milk, tea for sugar, etc.

Difficulties in Barter system

1. Problem of double coincidence of wants:

- Lack of double co-incidence of wants was one of the major limitations of barter system.
- For instance, person 'A' has cloth and he wants rice in exchange and person 'B' has rice but he does not want cloth in exchange.
- In this case exchange between 'A' and 'B' would not take place as their wants do not coincide with each other.

2. Lack of common measure of value:

- While exchanging goods for goods, there was no standard unit of account to determine the value of a commodity. For e.g., it was difficult to compare two litres of milk with two kilograms of rice.

3. Difficulties in storage of goods:

- It is necessary to store goods for future consumption.
- Sometimes due to perishable nature of certain goods, it was difficult to store them for future.
- Perishable commodities like milk, eggs, fish, vegetable etc. were difficult to store.
- This was also due to lack of space required to store heavy and bulky goods.

4. Problem of making deferred payments:

- Deferred payment means payments to be made in future.
- Repayment of loan was difficult due to exchange of commodities.
- It was difficult to repay the perishable goods in the same condition in future.

Definition of Money:

According to **Prof. Crowther**,

"Money is anything that is generally acceptable as a means of exchange and at the same time acts as a measure and a store of value".

Types of Money:

1) Animal money:

- In pre-historic period, 'animal money' was used as a means of exchange.
- For e.g., cow, sheep, goat etc.
- However, due to their indivisible nature, it got banned and commodity money came into existence.

2) Commodity money:

- In olden days, the commodities to be used as money were dependent upon climatic conditions and culture.
- For e.g., animal skin, grains, shells, feathers, tusk, salt, rare articles and stones were used as a medium of exchange.
- Due to the problem of storage of such commodities, metallic money came into existence.

3) Metallic money:

- Metallic money used durable metals.
- For e.g., gold, silver, copper, aluminium, nickel etc.
- However, scarcity of precious metals and lack of uniformity in metallic pieces gave rise to the use of metallic coins.

4) Metallic coins:

- In ancient times, rulers of various kingdoms used small pieces of metals and affixed their seals on them.
- With the passage of time, the monetary system was taken over by the government authorities.
- Coins can be classified as under:

a) Standard or full-bodied coins:

- Full bodied coins are those whose face value is equal to their intrinsic value.
- Face value indicates the exchange value fixed by issuing authority.
- These coins are made out of precious metals like gold, silver etc.
- Standard coins were used for some days during the British period.

b) Token coins:

- Token coins are those whose face value is higher than their intrinsic value.
- These coins are made of cheaper metals like aluminium, nickel etc.
- These coins are of lower denominations and are generally used for settling smaller transactions.
- In India, all coins in circulation today are token coins.

5) Paper Money:

- Paper Money was a substitute for metallic money.
- In course of time, issue of currency notes was monopolized by the Central Bank.
- Paper money consists of paper currency issued by Government and Central Bank of the country.
- In India, one-rupee notes and all coins are issued by the Government of India.
- Currency notes of higher denominations are issued by the Central Bank (Reserve Bank of India).

6) Electronic money:

- It is a monetary value that is stored and transferred electronically through a variety of means i.e., a mobile phone, tablet, etc.
- It is backed by the Central Bank.
- This is used for purchases and transactions globally.
- Digital wallets are known as a form of stored electronic money.

7) Bank Money or Credit Money:

- Bank money refers to deposits which are in the form of cash saved by the people.
- It is used to create credit money.
- This can be withdrawable and transferable on demand, by means of cheque, demand draft etc.
- Cheque, demand draft is not actual money but credit instruments through which deposits are transferable.
- Credit money plays an important role in economic development.

8) Plastic Money:

- Plastic Money is easy to use in transaction due to advanced technology.
- Debit cards and credit cards are used as plastic money.
- Further innovation in smart transactions led to the introduction of electronic money.

Functions of Money

A) Primary Functions:

1) Medium of Exchange:

- ☐ The most important function of money is to serve as a medium of exchange.
- ☐ Any commodity can be purchased or sold for money.

2) Measure of Value or Unit of account:

- ☐ Price is the value of a commodity or a service expressed in terms of money.
- ☐ Money enables to compare the prices of commodities.
- ☐ Different currencies are used to express the value of commodity in different countries.
- ☐ For e.g., Rupee in India. Dollar in U.S.A., Pound in U.K., Yen in Japan etc.
- ☐ Income and expenditures of all kinds, assets and liabilities are stated in terms of money as a unit of account.

B) Secondary Functions:

1) Standard of deferred payments:

- ☐ Under barter system taking loans was easy.
- ☐ However, its repayment was difficult because loan was in the form of grains, cattle etc.
- ☐ Money has overcome this difficulty.
- ☐ Payments to be made at a future date is called deferred payments.
- ☐ By serving as a standard measure of payment over a time, money makes borrowing and lending easy.

2) **Store of value:**

- Money acts as a store of value.
- It not only satisfies wants in the present but also makes provision for satisfaction of wants in future.
- This is possible due to savings.

3) Transfer of Value:

- Money enables transfer of value from one person to another and from one place to another.
- Real assets can be sold at one place and can be purchased at another place with the help of money.
- For e.g., building, plot, shop, agricultural land etc.

C) Contingent Functions:

According to **Prof. Kinley**, in the modern period money plays an important role almost in all economic transactions.

1) Measurement of National Income:

- National Income is expressed in monetary terms.
- Distribution of national income among the four factors of production is in terms of monetary rewards.
- For e.g., rent, wages, interest, profits etc.

2) Basis of Credit:

- Commercial Banks create credit money on the basis of primary deposits.
- Money provides a liquid base for creation of credit money.

3) Imparts liquidity to wealth:

- Money is called the most liquid asset.
- It can be easily converted into any asset and any asset can be converted into money.
- For e.g., a person can purchase gold and if he wants, he can sell it and purchase government bonds, securities etc.

4) **Estimation of macro-economic variables:**

- Macro-Economic variables can be easily estimated in monetary terms.
- It also facilitates government tax collection, preparation of budget etc.
- For e.g., Gross National Product (GNP), total savings, total investment etc.

Black Money:

- It is any money which is received in cash but not accounted for and on which tax is not paid to the government.
 - It is tax evaded income, which can be earned through both legal and illegal means.
 - Black money encourages illegal activities such as corruption, bribery, black marketing, hoarding etc.
 - This creates obstacles in economic development.
 - Economic, political and social instability are created in the economy due to black money.
 - To control black money, *demonetization* is one of the tools, which many countries have adopted.
-